# Six Capitals and the World Crisis

News and analysis through Marx's Capital
News and theory-based analysis | Assessment: October 18, 2026
News developments reported October 15-17, 2026

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| Coverage | Washington, Beijing, Moscow, Tokyo, London and Paris; news reported October 15-17. |
| Framework | Accumulation, wages, profitability, credit and the distribution of adjustment costs. |
| Key distinction | Current evidence, forecasts and official statements are separated from interpretation. |
| Next test | China's October 19 data, AI profitability and how policy affects household living standards. |

## Executive Summary

The six capitals face connected pressures: sanctions and war, uncertainty over growth, heavy investment commitments, household living costs and demands for public services. The news section reports recent developments; the analysis then examines them through Karl Marx's Capital.

The central argument is that productive capacity, financial wealth and social insecurity can expand together when investment is organized around profitability and the distribution of gains is unequal. This is an interpretive framework, not proof of one uniform global crisis or an imminent collapse.

The IMF projects world growth of 3.1% and inflation of 4.7% in 2026. Continued aggregate growth can coexist with hardship in particular sectors, countries and households. The IMF identifies conflict, trade tensions, fiscal vulnerabilities and changing AI expectations as risks. [8]

## Part I. News from Six Capitals

### Washington - Russia sanctions waiver draws congressional criticism

President Donald Trump signed an executive order on October 16 waiving sanctions, restrictions and tariffs under the Lindsey O. Graham Sanctioning Russia and Iran Act of 2026, citing U.S. national interests. The order expressly preserves sanctions imposed under earlier executive orders. [1]

Republican and Democratic lawmakers criticized the decision on October 17. The dispute puts the administration’s approach to Moscow under renewed scrutiny shortly before the November 3 midterm elections. [2]

### Beijing - GDP release will test the strength of the recovery

A Reuters poll of 50 economists, reported October 15, projected that China’s economy grew 4.4% year on year in the third quarter, compared with 4.3% in the second quarter. Economists forecast full-year growth of 4.5%, at the lower end of the official 4.5%-5% target. These are survey forecasts. Official third-quarter GDP and September retail sales, industrial production and investment figures are scheduled for October 19 at 02:00 GMT, or 10 a.m. in Beijing. The release will provide a clearer measure of how policy support is affecting domestic activity. [3]

### Moscow - Putin envoy promotes possible U.S. economic projects

Kirill Dmitriev, President Vladimir Putin’s investment envoy, said on October 16 that Russia and the United States were discussing additional joint projects following a diesel agreement. He cited data centres potentially powered by small nuclear plants, while acknowledging that sanctions remained an obstacle. Reuters reported that he provided no project details. These are proposals described by a Russian official; the report does not establish that the proposed data-centre projects have been agreed or financed. [4]

### Tokyo - Government stresses investment, productivity and real wages

At a Reuters event in Tokyo on October 15, economic and fiscal policy minister Minoru Kiuchi argued that Japan was moving beyond decades of deflation toward an economy supported by investment, wage increases and expanding consumption. He acknowledged that this cycle was not yet firmly established. Kiuchi called for stronger domestic investment, productivity and real wages, and said economic strength and fiscal sustainability should be pursued together. He also cautioned against sharp short-term currency movements. The remarks set out the government's policy case rather than a new statistical assessment. [5]

### London - Heathrow expansion exposes a policy disagreement

Finance minister John Healey backed Heathrow expansion as a route to economic growth, despite Prime Minister Andy Burnham's earlier refusal to endorse a third runway, Reuters reported. Speaking at the IMF annual meeting in Bangkok, Healey supported the economic case for expansion. Burnham had said the decision was for people living near the airport. Business support for greater capacity remains set against local noise concerns and climate objections. Heathrow said in September that a third runway might not open until 2039; construction still depends on a lengthy planning process. [6]

### Paris - Cost-of-living protests bring widespread unrest

Demonstrations over living costs and school conditions drew large crowds across France on October 17. Fires, looting and clashes occurred in Paris and several other cities alongside peaceful marches. By late Saturday, Prime Minister Sébastien Lecornu said 1,200 people had been arrested and 150 police officers injured, AFP reported. Those are official figures from an evolving situation. The unrest followed weeks of student protests and adds pressure on the government over public services and household finances. [7]

## Part II. Reading the World through Capital

The following sections are editorial analysis. They apply selected concepts from Capital to the reported developments. Official forecasts and statements provide evidence about conditions; they do not endorse the Marxian interpretation.

### 1. Accumulation: why investment follows expected returns

Marx describes capital through M-C-M-prime: money is advanced to acquire commodities and return as a larger sum. Under competitive pressure, firms seek profits, reinvest and defend their position. In his theory, surplus value originates in labour performed beyond the value represented by wages; its distribution into profits, interest and rent involves further processes. [9]

Applied today, the question is why some commercial projects can attract large investments while urgent public needs struggle for funding. Social need becomes profitable demand only under particular income and institutional conditions. The analysis should identify expected returns, ownership and the ability to pay, rather than assume all investors have identical motives.

### 2. Overaccumulation: excess investment alongside unmet needs

Marx examines overaccumulation as capital becoming excessive relative to opportunities for profitable employment. It is possible for capacity and investment to expand while people still lack needed goods and services. Each firm may make a commercially reasonable expansion decision, yet the combined expansion can exceed what the market will profitably absorb. [10]

The AI investment cycle makes this a relevant hypothesis to investigate. The IMF warns that disappointing AI investment or profitability could trigger asset-price corrections amplified by leverage and concentrated exposures. It also reports resilient markets and strong earnings. These findings support scrutiny, not a conclusion that all AI investment is already wasteful. [16]

### 3. Wages, demand and the realization of surplus value

For an individual employer, reducing labour costs can protect returns. Across the economy, wages also sustain demand. Producing goods and realizing the expected surplus through sales are different stages. The relation among wages, prices, employment and investment therefore matters for whether accumulation can continue. [10]

This argument cannot be reduced to workers being unable to buy the entire product. Investment, capitalist consumption, government spending and trade also absorb output. Marx's reproduction analysis examines relations among production sectors. A current diagnosis must investigate whether these components fit together and whether credit-supported demand is sustainable. [11]

### 4. Credit, financial claims and crisis transmission

Credit permits investment and production before their proceeds arrive. It also creates commitments against future income. Marx's concept of fictitious capital concerns capitalized claims to future revenues; it does not mean every financial asset is fraudulent or useless. Asset prices can change sharply when expectations about that income change. [12] [17]

One possible sequence is optimistic profits, expanding borrowing, disappointing revenues, falling valuations, tighter credit and reduced investment or employment. This is a mechanism to test, not a prediction. Current IMF warnings about AI repricing and sovereign-bond yield shocks give it contemporary relevance. [16]

### 5. Machinery and AI: who receives productivity gains?

Marx examines how machinery changes employment, skills, work intensity and bargaining power. Technology can reduce the labour needed for production, but ownership and institutions influence whether gains appear as higher wages, shorter hours, lower prices, larger profits or displacement. [13] [14]

Applied to AI, the issue is the distribution and control of gains. A productivity increase does not establish how workers will share in it. Evidence should include employment transitions, working time, real wages and the concentration of ownership. These outcomes remain open to policy, organization and conflict.

### 6. Profitability and the limits of a collapse argument

Marx's discussion of the tendency of the profit rate to fall concerns relationships among surplus value and capital advanced. He also discusses counteracting influences, including cheaper elements of capital and changes in exploitation. It is not a rule that every company's accounting profit must decline every year. [15] [10]

A claim that the present world crisis is driven by a general profitability decline would require sustained evidence on profits, investment, capacity utilization and the valuation of capital. News about individual failures or high debt cannot establish that claim alone. The framework identifies questions; empirical research must determine their weight.

### 7. States, war and the world market

A Marxian approach investigates how competition over markets, resources, finance and technology interacts with state policy. Sanctions can alter the opportunities and costs facing different firms and classes. Exporters, workers, energy producers, financial institutions and consumers within one country may have conflicting interests.

Capital does not supply a complete explanation of contemporary wars. Security fears, nationalism, institutions, historical circumstances and leaders' decisions require examination. Later theories of imperialism extend Marx's analysis and should be identified as later developments. No current government's actions follow mechanically from a formula in Capital.

### 8. Public services, ecology and the cost of adjustment

Education, housing, care and infrastructure help sustain the people and conditions on which production depends. A conflict over public spending therefore also concerns the reproduction of society's productive capacities. Marx's discussion of agriculture additionally draws attention to how production can undermine the natural conditions on which it relies. Applying this to modern environmental costs is an extension of that argument. [13]

When profitability or public finances comes under pressure, adjustment may fall through taxation, debt restructuring, lower returns, reduced services, inflation or weaker wages and employment. The analytical task is to identify who absorbs the loss and who has the power to influence that decision. A cost-of-living crisis may persist even while total output grows.

## Six-Capital Application Map

| Capital | Question raised by Capital |
|---|---|
| Washington | Which interests gain or lose from changes in sanctions, energy trade and state support? Economic interests must be examined alongside security decisions. |
| Beijing | Does investment generate sustainable returns and broad household purchasing power? State ownership, policy and distribution require specific evidence. |
| Moscow | How do resource revenues and access to finance and technology interact with state priorities? Proposed projects remain distinct from completed investments. |
| Tokyo | Do productivity and investment gains support real wages and household consumption as well as corporate accumulation? |
| London | Who captures the gains from infrastructure expansion, and who pays its financial, noise and environmental costs? |
| Paris | How are the costs of household necessities and public provision distributed, and how do disputes over these costs affect political legitimacy? |

The evidence does not establish a uniform global breakdown or an automatic political outcome. Expectations about investment, energy supplies and policy can change rapidly.

## What to Watch Next

- China's October 19 data: separate official results from the forecast reported here.
- Implementation of sanctions waivers and any changes in the conditions for economic cooperation.
- Real wages, working hours and employment security alongside productivity and GDP.
- AI revenues and cash flows relative to investment and debt commitments.
- Capacity utilization, profitability and defaults rather than investment announcements alone.
- Public-service provision and the distribution of fiscal adjustment costs.

## New Words and Phrases

| Grade | Word / phrase | Meaning in this report |
|---|---|---|
| 1 | wages | Payment received by workers for their labour-power. |
| 1 | investment | Resources committed now in expectation of future benefits. |
| 2 | purchasing power | What income can buy after allowing for prices. |
| 2 | sanctions waiver | A decision to suspend the application of specified restrictions. |
| 3 | accumulation | Expansion of capital through reinvestment and related processes. |
| 3 | productivity | Output produced relative to an input such as labour time. |
| 3 | fiscal sustainability | Capacity to maintain public finances without destabilizing adjustment. |
| 4 | surplus value | In Marx's theory, value produced by labour beyond the value represented by wages. |
| 4 | realization | Conversion of produced commodity value into money through sale. |
| 4 | overaccumulation | Capital expansion exceeding opportunities for sufficiently profitable employment. |
| 5 | fictitious capital | Capitalized financial claims to future income, distinct from the productive capital itself. |
| 5 | social reproduction | Processes that sustain people and the conditions of social life and production. |
| 5 | counteracting tendency | A force that offsets or modifies another economic tendency. |

## Editorial Assessment

Capital helps explain how expanding production and innovation can coexist with insecurity, and why disruptions become struggles over ownership, public services and power. Its strongest contribution here is a set of mechanisms and questions about accumulation and adjustment. The evidence does not establish a uniform global breakdown or an automatic political outcome.

A useful investigation should ask who owns productive assets, who controls investment, how incomes and risks are distributed, and whether gains reach households and public services. Countries have different institutions and trajectories; treating each national economy as one unified actor would conceal important conflicts within it.

## Brief Russian Summary

В Вашингтоне, Пекине, Москве, Токио, Лондоне и Париже экономические трудности проявляются по-разному, но связаны общими процессами: накоплением капитала, борьбой за рынки, ростом финансовых обязательств и распределением доходов. С точки зрения «Капитала» Маркса, расширение производства и технический прогресс сами по себе не гарантируют улучшения жизни большинства людей: многое зависит от собственности, заработной платы, общественных услуг и контроля над результатами труда. Войны, санкции и финансовая нестабильность могут усиливать эти противоречия. Однако такой анализ не доказывает неизбежность скорого краха мировой экономики; он помогает понять, кто получает выгоды и на кого перекладываются издержки кризиса.

## Sources and Method

News coverage reflects sources dated October 15-17, 2026; assessment dated October 18. Forecasts, official claims and editorial interpretation are separated. Marx's Capital is the requested analytical framework, not an empirical source about present events. IMF evidence is used for current conditions and does not imply IMF endorsement of Marxian theory.


1. White House executive order
2. Associated Press, October 17
3. Reuters via MarketScreener, October 15
4. Reuters via MarketScreener, October 16
5. Reuters event transcript, October 15
6. Reuters via MarketScreener, October 16–17
7. AFP, updated October 17 at 23:55
8. IMF: World Economic Outlook, October 2026
9. Marx, Capital I, Chapter 4: The General Formula for Capital
10. Marx, Capital III, Chapter 15: Internal Contradictions
11. Marx, Capital II, Chapter 20: Simple Reproduction
12. Marx, Capital III, Chapter 29: Banking Capital
13. Marx, Capital I, Chapter 15: Machinery and Modern Industry
14. Marx, Capital I, Chapter 25: The General Law of Capitalist Accumulation
15. Marx, Capital III, Chapter 14: Counteracting Influences
16. IMF: Global Financial Stability Report, October 2026
17. Marx, Capital III, Chapter 30: Money-Capital and Real Capital